

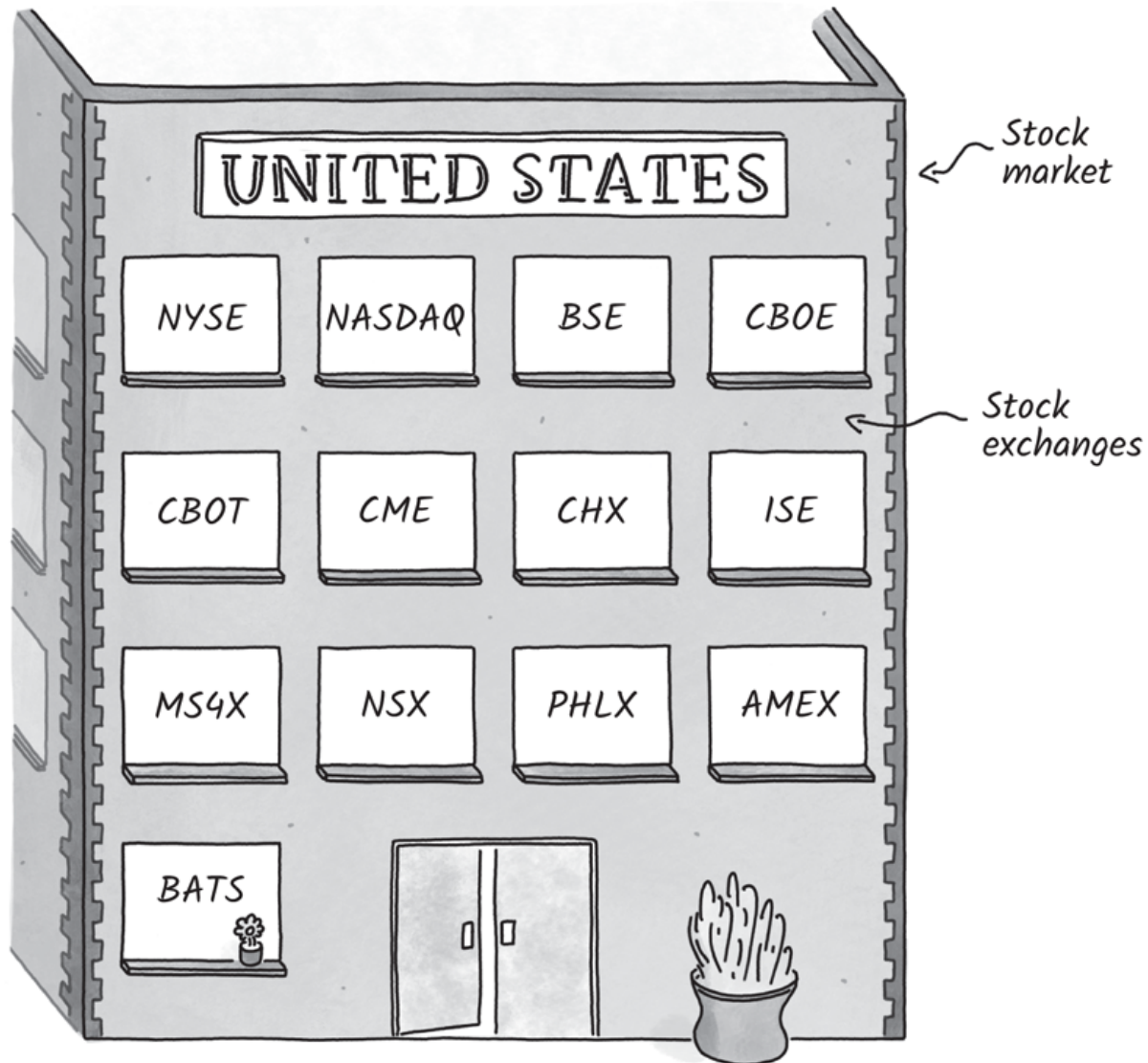


Figure 4.1: the US stock market

Wall Street became home to the New York Stock Exchange (NYSE) in 1792, with 24 founding stockbrokers, where they fittingly named their contract the Buttonwood Agreement.

Initially, ownership of the exchange was extremely exclusive, and you could only obtain a membership by purchasing a seat from an existing member. The first company to be listed was the Bank of New York. The NYSE has now become one of the world's most famous stock exchanges, and to this date is still the biggest powerhouse in the stock market.

If you go to the NYSE today you'll see that, even though modern technology allows the average person to invest online, there are still traders